

Laxmi Dental Ltd.

Company Overview:

Laxmi Dental Ltd (LDL) is India's only end-to-end integrated dental product company as of Sep'24, offering a comprehensive portfolio of dental products. The company operates in 3 verticals i) **Laboratory Offerings** which include custom made crowns & bridges; ii) **Aligner Solutions** which includes dental aligners and related branded products and iii) **Paediatric Dental Products** which include range of products like pre-formed crowns, Silver Diamide Fluoride (SDF), space maintainers, fissure sealants, etc. As of Sep'24, the company operates out of 6 manufacturing facilities (3 in Mira Road, Mumbai, 2 in Boisar, Mumbai and 1 in Kochi, Kerala) spread across 1,47,030 sq ft, with both the Boisar facilities and one-of-the Mira Road facility registered with the US Food & Drug Administration (USFDA).

Key Highlights:

1. The only end-to-end integrated dental company in India: The company is among the few vertically integrated players globally and the only vertically integrated company in India as of Sep'24. LDL's business model includes both backward (manufacturing of raw materials to designing of products) and forward (offering solutions for treatment planning) integration. The vertically integrated approach contributes significantly to the company's competitive edge by having direct control over raw material sourcing, thus maintaining consistency in quality of products.

2. Second largest player in the domestic laboratory business: LDL's laboratory offerings have evolved over 20 years from a team of few members to an integrated dental product company. The laboratory offers custom made dental prosthesis such as metal bridges and crowns, including range of premium crowns (under brand 'Illusion Zirconia'), PFM crowns, bridges and dentures. The company is amongst the top 2 largest Indian dental laboratories by FY24 revenue and was the largest exporter of custom made dental prosthesis from India, catering to US and UK market by FY23 revenue.

3. Diverse branded portfolio of vertically integrated products: The company has been engaging in efforts to establish 'Illusion' as a well-recognized brand, which along with LDL's established market presence and experience in manufacturing quality products will help it build and scale future brands. Further, the company has strategically selected and onboarded national brand ambassadors to build awareness and connect with customers. Further, the company also benefits from the first mover advantage by being one of the few Indian companies to manufacture and supply thermoforming sheets & machines, dental consumables, etc.

4. Robust dental network: The company operates through a B2B2C model and has established a large dental network of over 22,000 dental clinics, dental companies and dentists as of Sep'24. Further, the company has catered to domestic and global demand by selling its products across 320 Indian cities and 95+ countries between FY22-1HFY25. LDL's strong relationship with dentists, clinics and dental companies acts as a strong moat and entry barrier for new entrants in the Indian dental market.

Valuation: Laxmi Dental Ltd is valued at FY24 P/E of 94.6x at upper end of price band on post issue capital. During 1HFY25, the company has already reported 60.3%/95.6% of its FY24 Revenue/EBITDA respectively implying marked improvement in performance. The company is among the top 2 dental labs by revenue in India and largest exporter of dental products. Going forward, factors such as the shift from the unorganized to the organized segment, greater awareness and adoption of dental aesthetics and shift towards metal free products are likely to drive growth for the company. LDL has witnessed margin improvement from 4.0% in FY22 to 19.5% in 1HFY25 driven by operational efficiencies. Reduction in interest cost following debt repayment is likely to improve profitability further.

Issue Details	
Date of Opening	13 th January 2025
Date of Closing	15 th January 2025
Price Band (Rs)	407 – 428
Offer for sale (shares)	1,30,85,467 (Rs 560cr @ upper price band)
Fresh Issue (Rs cr)	138
Issue Size (Rs cr)	671 – 698
No. of shares	1,64,76,130 – 1,63,09,766
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	2,244 – 2,352
BRLMs	Nuvama Wealth Management, Motilal Oswal Investment Advisors, SBI Capital Markets
Registrar	MUFG Intime India Pvt Ltd
Bid Lot	33 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Repayment/pre-payment in full or in part of certain outstanding borrowings availed by the company	23.0
Investment in certain subsidiaries for the repayment/pre-payment in full or in part of certain outstanding borrowings	4.6
Funding capex requirement for purchase of new machinery for the company	43.5
Investment in subsidiary Bizdent Devices Pvt Ltd, for capex requirements towards purchase of new machinery	25.0
General Corporate Purposes	41.9
Total proceeds from fresh issue	138.0

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	2,40,91,330	46.6
Public & Others	2,76,46,520	53.4
Total	5,17,37,850	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	2,34,74,788	42.6
Public & Others	3,16,53,725	57.4
Total	5,51,28,513	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	2,34,74,788	42.7
Public & Others	3,14,87,361	57.3
Total	5,49,62,149	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY22	FY23	FY24	1HFY25
Revenue from operation	136.8	161.6	193.6	116.8
EBITDA	5.4	9.0	23.8	22.7
Adj. PAT	(7.5)	(3.3)	26.5	16.8
EBITDA Margin (%)	4.0	5.5	12.3	19.5
Adj. PAT Margin (%)	-	-	13.7	14.4
ROE (%)	-	-	62.3	-
ROCE (%)	-	0.4	16.1	-
P/E (x)*	-	-	45.0	-

Source: RHP, SSL Research

*Pre-issue based on upper price band

Risk Factors

- **Network risk:** The company depends upon its ability to continue expanding its network by retaining existing dental clinics, dental companies and dentists, while simultaneously adding new ones to increase business, visibility, and profitability. The company has primarily adopted a B2B2C business model for sale of products, which means the dental products are sold through the Dental Network to the end consumer (patient), lending credibility to dental products since they are recommended by the dental network. Any failure to add or retain clinics, companies or dentists to the network in a cost-effective manner may have an adverse effect on business, operations, financial condition and result of operations.
- **Geographical concentration risk:** The company derived 58.3%/68.5%/67.5%/67.5% of its FY22/FY23/FY24/1HFY25 revenue respectively from India and 28.4%/18.6%/19.4%/19.1% of its FY22/FY23/FY24/1HFY25 revenue respectively from US, denoting a dependency on these geographies for a substantial portion of its revenue. Any economic slowdown or social, political or criminal development may have an adverse effect on business, operations, financial condition and result of operations.
- **Brand risk:** The company depends heavily on its reputation and perception of the brands. Any negative publicity or other harm to the brand or failure to maintain and enhance brand recognition and maintain quality standards may materially and adversely affect the reputation which in turn may have an adverse effect on business, operations, financial condition and result of operations.
- **Manufacturing facility risk:** The company operates through 6 manufacturing facilities, out of which 5 are located in Mumbai and one 1 is located in Kochi, Kerala. The continued operation of manufacturing facilities can be substantially interrupted due to a number of factors, including natural calamities, fuel shortages, mechanical breakdowns, terrorist attacks, loss of licenses, certifications & permits, regulatory changes, etc. Any disruption in manufacturing processes due to the above stated or any other reasons may have an adverse effect on business, operations, financial condition and result of operations.

Growth Strategy

- Deepen market penetration amongst existing Dental Network while also expanding the network.
- Continue to scale up branded product offerings.
- Undertake product enhancements of existing dental products and launch new dental products.
- Enhance manufacturing capacities with increasing focus on automation and adoption of new technologies.
- Continue to follow a multi-channel approach in marketing.

Revenue Mix – Product Wise

Particulars	FY22		FY23		FY24		1HFY25	
	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total
Laboratory	93.2	72.0	105.5	66.4	124.0	64.7	73.0	63.1
Aligner solutions	23.0	17.7	35.1	22.1	53.8	28.1	36.0	31.1
Others	13.3	10.3	18.4	11.6	13.6	7.1	6.7	5.8
Total	129.5	100.0	158.9	100.0	191.5	100.0	115.7	100.0

Source: RHP, SSL Research

Revenue Mix – Geographical split

Particulars	FY22		FY23		FY24		1HFY25	
	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total
India	75.5	58.3	108.8	68.5	129.2	67.5	78.1	67.5
USA	36.7	28.4	29.5	18.6	37.2	19.4	22.1	19.1
UK	8.1	6.3	11.6	7.3	13.7	7.2	8.5	7.3
Others	9.2	7.1	9.0	5.7	11.4	5.9	7.0	6.1
Total	129.5	100.0	158.9	100.0	191.5	100.0	115.7	100.0

Source: RHP, SSL Research

Capacity Utilization (%)

Particulars	FY22	FY23	FY24	1HFY25*
Laboratory offerings				
Average Capacity (SKUs)	5,24,250	6,22,125	7,44,300	4,68,000
Actual Production (SKUs)	5,06,516	5,49,161	6,51,250	4,07,613
Capacity Utilization %	96.6	88.3	87.5	87.1
Aligner Solutions				
i) Aligner Products				
Average Capacity (SKUs)	2,22,750	2,29,500	4,89,375	2,75,063
Actual Production (SKUs)	60,539	1,93,753	3,74,689	1,82,850
Capacity Utilization %	27.2	84.4	76.6	66.5
ii) Other Aligner products				
Average Capacity (SKUs)	30,48,000	48,48,000	51,36,000	25,68,000
Actual Production (SKUs)	22,21,454	14,77,896	17,58,083	8,31,233
Capacity Utilization %	72.9	30.5	34.2	32.4
Paediatric Products				
i) Crown Products				
Average Capacity (SKUs)	-	10,80,000	16,20,000	8,10,000
Actual Production (SKUs)	-	57,749	5,20,580	4,36,852
Capacity Utilization %	-	5.3	32.1	53.9
ii) Crown products & Other products				
Average Capacity (SKUs)	37,800	59,400	1,13,400	56,700
Actual Production (SKUs)	22,132	28,590	18,058	8,506
Capacity Utilization %	58.6	48.1	15.9	15.0

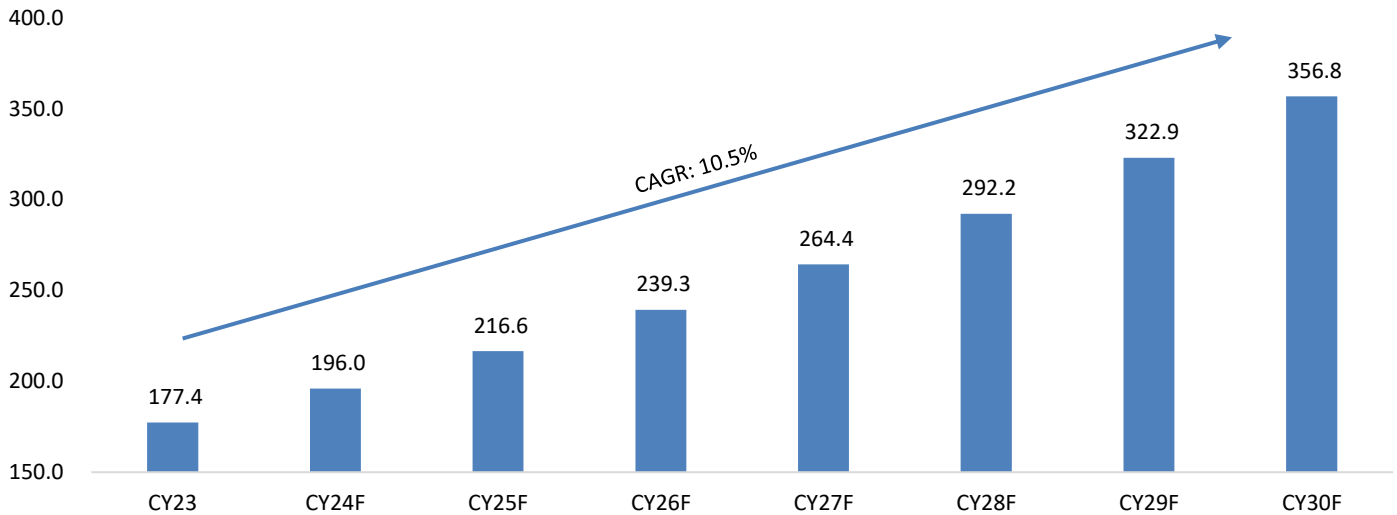
Source: RHP, SSL Research

*Not Annualized

Industry Overview

The **Global Dental Consumables Market** was valued at USD 177.4 bn in CY23 and is forecasted to grow at a CAGR of 10.5% between CY23-CY30F to reach USD 356.8 bn by CY30F driven by increased awareness and adoption of dental products such as clear aligners & dental crowns in emerging economies such as China, India and Brazil.

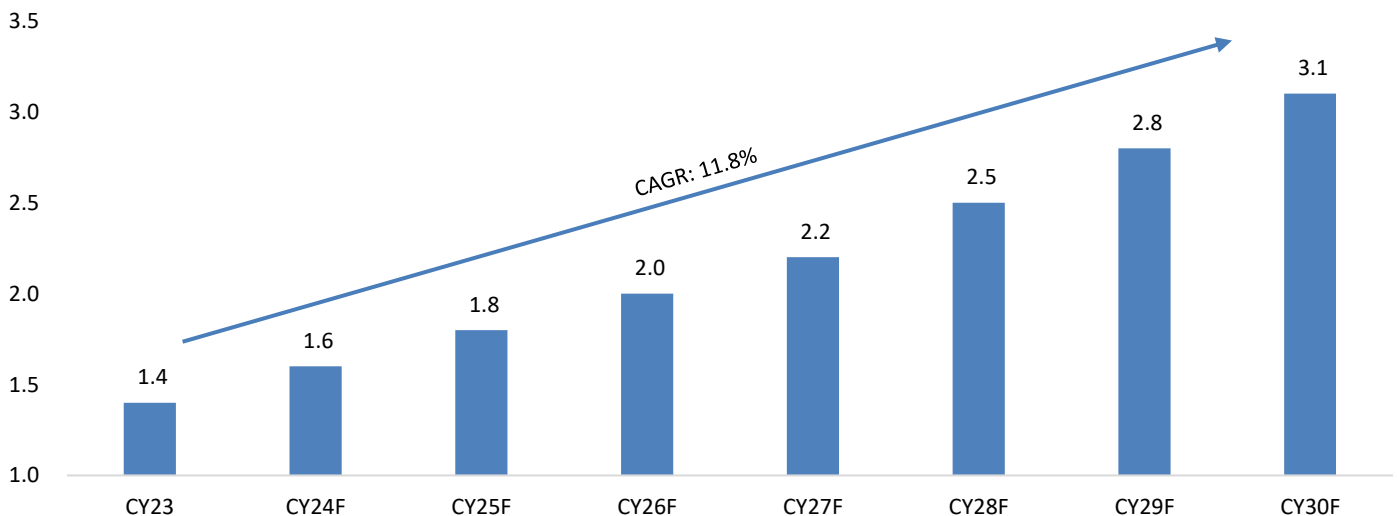
Global Dental Consumables Market (USD bn)



Source: RHP, SSL Research

The **Indian custom-made Crown & Bridges Market** stood at USD 1.4 bn in CY23 and is forecasted to grow at a CAGR of 11.8% between CY23-CY30F to reach USD 3.1 bn by CY30F. The growth will likely be driven by growing adoption of dental treatments, aging population, need for restorative treatments, increasing prevalence of periodontal disease & tooth decay, and introduction of biocompatible and metal-free materials such as zirconia and all-ceramic crowns offering improved aesthetics and long-lasting dental restorations.

Indian Custom-made Crowns and Bridges Market (USD bn)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	FY22	FY23	FY24
Revenue from Operations	137	162	194
YoY growth (%)	-	18.1%	19.8%
Cost Of Revenues (incl Stock Adj)	40	42	48
Gross Profit	97	120	145
Gross margin (%)	71.0%	74.1%	74.9%
Employee Cost	53	65	72
Other Operating Expenses	39	46	50
EBITDA	5	9	24
EBITDA margin (%)	4.0%	5.5%	12.3%
Other Income	1	2	2
Interest Exp.	4	4	5
Depreciation	8	11	12
PBT	(5)	(4)	9
Exceptional item/Extraordinary item	(9)	-	-
Tax	2	-	(9)
Adj. PAT	-8	-3	26
Adj. PAT margin (%)	-	-	13.7%
Adj. EPS	-	-	9.5

BALANCE SHEET			
Particulars (Rs cr)	FY22	FY23	FY24
Assets			
Net Block	30	31	36
Intangible Assets	-	1	2
Right of use assets	9	7	7
Other Non-current Assets	4	4	20
Current Assets			
Inventories	30	24	25
Trade receivables	20	20	25
Cash and Bank Balances	1	2	1
Short-term loans and advances	1	-	-
Other Current Assets	8	7	13
Total Current Assets	60	53	64
Current Liabilities & Provisions			
Trade payables	27	23	16
Other current liabilities	10	11	18
Short-term provisions	-	-	1
Total Current Liabilities	37	34	34
Net Current Assets	23	19	30
Net Assets Classified as held for sale	-	-	3
Total Assets	65	63	99
Liabilities			
Share Capital	-	-	-
Reserves and Surplus	21	17	42
Total Shareholders' Funds	21	18	42
Minority Interest	2	2	2
Total Debt	30	31	42
Long Term Provisions	3	3	4
Lease Liabilities	9	7	8
Other Long-Term Liabilities	1	1	1
Total Liabilities	65	63	99

Cashflows (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	(2)	14	8
Cash flow from Investing Activities	3	(9)	(14)
Cash flow from Financing Activities	(4)	(1)	1
Free Cash Flow	(12)	4	(7)

RATIOS			
	FY22	FY23	FY24
Profitability (%)			
Return on Assets	-	-	19.7
Return on Capital Employed	-	0.4	16.1
Return on Equity	-	-	62.3
Margin Analysis (%)			
Gross Margin	71.0	74.1	74.9
EBITDA Margin	4.0	5.5	12.3
Net Profit Margin	-	-	13.7
Short-Term Liquidity			
Current Ratio (x)	1.1	1.0	1.0
Quick Ratio (x)	0.5	0.5	0.6
Avg. Days Sales Outstanding	54	46	47
Avg. Days Inventory Outstanding	79	55	47
Avg. Days Payables	71	51	30
Fixed asset turnover (x)	3.5	4.2	4.4
Debt-service coverage (x)	-	-	0.3
Long-Term Solvency			
Total Debt / Equity (x)	1.4	1.8	1.0
Interest Coverage Ratio (x)	-	-	2.7
Valuation Ratios			
EV/EBITDA (x)	225.1	136.1	51.8
P/E (x)	-	-	45.0
P/B (x)	56.5	66.9	28.0
EV/Sales (x)	8.9	7.6	6.4

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	Laxmi Dentals Ltd.	Poly Medicure Ltd.
CMP	428.0	2,767.0
Sales	193.6	1,375.8
EBITDA	23.8	358.2
Net Profit	17.9	258.3
Mkt Cap.	2,352.4	28,036.8
Enterprise Value	2,255.4	28,195.0
EBITDA Margin (%)	12.3	26.0
Net Margin (%)	9.3	18.8
PE (x)	94.6	102.8
EV/EBITDA (x)	94.8	78.7
RoE (%)	58.5	17.6
RoCE (%)	16.1	21.5
EV/Sales	11.7	20.5

For Laxmi Dental Limited the Market cap, PE(x), and EV/EBITDA (x), EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 08th January, 2025.

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

Registered & Corporate Office: Marathon Futorex, A Wing, 12th Floor, N. M. Joshi Marg, Lower Parel, Mumbai-400013.

For any information contact us:

022-6854 5555**E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

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Name	Qualification	Designation
Sudeep Shah	MMS-Finance	DVP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	CA	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Sweta Padhi	MBA (Finance)	Research Analyst - Equity Fundamentals
Uday Chandgothia	B-Tech, MBA (Finance)	Research Associate - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Ashwin Ramani	B.Com	Research Analyst- Equity Technicals
Ghanshyam Gupta	MBA (Finance)	Research Analyst- Currency Derivative
Sagar Peswani	B.Tech (ECE)	Research Associate - Equity Technicals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

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